Roll No. | | | | | | | | | | |

M.B.A.

SECOND SEMESTER EXAMINATION, 2014-15

FINANCIAL MANAGEMENT

Time : **3 Hours** Max. Marks : **100**

Note : (i) Attempt **ALL** questions.
(ii) Choices are given in each question set.
(iii) Annuity Table must be allowed to students.

1. Attempt any **Two** of the following questions: **10 x 2 = 20**

(a) What is the difference between payout ratio and retention ratio?

(b) What are the implications of growth opportunities of the firm with financial leverage?

(c) Is wealth maximization objective superior to other financial objectives of the firm?

2. Attempt any **Two** of the following questions: **10 x 2 = 20**

(a) The following information is available for Firms A and B. Are the working capital policies of the Firms conservative or aggressive? Comment.

	Firm A	Firm B
EBIT/ Total Assets	19.50	21.50
Current Ratio	2.12	1.32
Current Assets/ Fixed Assets	1.93	1.20

(b) Explain any Two of the following:

(i) EOQ **(ii)** Carrying costs

(iii) Re-order point **(iv)** Safety stock

(c) Define financial management. Differentiate between Traditional Finance and Modern Finance Function.

3. Attempt any **Four** of the following questions: **5 x 4 = 20**

(a) What is the difference between working capital cycle and cash conversion cycle? A firm has inventory (stock of goods) conversion period of 89 days. The firm's debtor's conversion period is 45 days and payable period is 39 days. Calculate the firms Gross operating cycle and cash conversion cycle.

(b) What are the three motives of holding cash?

(c) Advani Chemicals Ltd. estimate the total cash requirement at Rs.2 Crores next year. The opportunity cost of the company funds is 15% per annum. The company will have to incur Rs.150 per transaction when it converts its short term securities to cash. Determine the optimum cash balance using Baumol's model where a firm replenishes its cash periodically, every time cash depletes to zero level.

(d) If you deposited Rs.55,650 in a bank, which was paying 15% on 10 years time deposit. What will be the value of this deposit at the end of 10^{th} year? What is the annual annuity amount if you decide to convert it to annuity at the end of the 10^{th} year for another 10 years at the discounting rate of 10%. The compound value factor of lump sum ($CVF_{10 \text{ years}, 15\%}$)=4.046 and the present value factor of an annuity ($PVFA_{10 \text{ years}, 10\%}$)=6.145.

(e) What are the benefits of preparing a cash budget?

(f) What is the role of a financial manager?

4. Attempt any **Two** of the following questions: **10 x 2 = 20**

(a) A financial Manager has calculated the benefit cost ratio for a new project to be 1.12. The proposal's cash outlay is Rs.5,00,000. Find out the project's annual cash inflow if it has a life of 5 years and the required rate of return is 8%.

(b) What is capital budgeting? Discuss its significance. Describe any one method of capital budgeting.

(c) Calculate the Payout ratio using Walter model from the following data for a firm in the cotton textile industry?

	Rs. In Crores
Share Capital	12.50
Reserve	7.50
Profit after Tax	1.85
Dividends Paid	1.50
P/E Ratio	13.33

5. Attempt any **Four** of the following questions: **5 x 4 = 20**

(a) Explain the Benefit Cost Ratio method of project evaluation in Capital Budgeting.

(b) What is the difference between opportunity cost of capital and overall cost of capital for a firm?

(c) What are the assumptions underlying the Gordon's model of dividend relevance?

(d) Describe the assumptions of the Net Income approach of capital structure.

(e) Write a brief note on working capital management.

(f) Comment on trading on equity.